



Disciplinary Action Policy

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1.0 OBJECTIVE

- 1.1.1 The purpose of **Disciplinary Action Policy** is to establish awareness among its employees of the appropriate conduct and behavior expected of them in the discharge of their duties and responsibilities to the Company, co-employees, customers, and visitors in general.
- 1.2.2 This Policy is meant to promote and support the employees' well being and protection, thus creating a safe, secure and professional environment wherein all employees are enabled, encouraged, and motivated to perform at their highest potential.
- 1.2.3 This will also provide guidelines on dealing with deviant behaviors and on the administration of corresponding disciplinary actions.

2.0 SCOPE & ELIGIBILITY

- 2.1.1 This Guidelines shall govern and be enforced equally among all employees of the Company regardless of employment status, level or position.
- 2.2.2 An employee's acceptance of employment with the Company includes his/her acceptance of the provisions of these Guidelines. These provisions are deemed incorporated into the employee's employment contract and form part of the terms and conditions of employment.
- 2.2.3 Ignorance of the provisions of these Guidelines does not excuse any employee from non-compliance herewith. Hence, the employee is required to read and understand these Guidelines. In cases of doubt, queries, or clarification, the employee is expected to consult his/her immediate superior who may be assisted by the HR Department.

3.0 RESPONSIBILITIES

The responsibility of ensuring discipline exists within the Company and collectively rests upon the Managers, employees and the Human Resources Department (HRD).

3.1 **The Managers are primarily responsible for ensuring that team members maintain the standards of professionalism and ethics. Managers/ HR department are/is expected to:**

- 3.1.1 Commend laudable acts and call attention to deviant behaviors;
- 3.1.2 Maintain discipline and promote efficiency among his/her team members in order to achieve the desired goals of his/her team, section or group;
- 3.1.3 Ensure that policies and guidelines are communicated and followed by his/her team, section or group;
- 3.1.4 In cases of deviation from the policy, the Company's rules and regulations set by Director would be followed;
- 3.1.5 Prepare required reports on cases investigated for submission to the HR;
- 3.1.6 Implement the approved disciplinary action;



3.2 HR Department

- 3.2.1 Monitors the implementation of the guidelines contained in this Document;
- 3.2.2 Advises other departments as to how the guidelines should be implemented and when necessary, explains the meaning and applicability of the specific cause of each disciplinary case;
- 3.2.3 Ensures that appropriate measures or control systems are laid down to prevent the recurrence of a specific infraction;
- 3.2.4 Ensures that policies, rules and regulations are regularly updated based on the needs of the Company, which should be done in close consultation with Director;
- 3.2.5 Ensures regular education and awareness of the policy with employees and managers;
- 3.2.6 Constitutes and convenes the Discipline Review Committee, on a case to case basis, as per the gravity, sensitivity and seriousness of the misconduct;
- 3.2.7 Custodian of all disciplinary records and relevant documents for future reference;

3.3 Discipline Review Committee (DRC)

As the administrative investigating body, the DRC is responsible for the fair and speedy resolution of cases involving the commission of major, serious and grave misconduct.

4.0 DEFINITION OF TERMS

- 4.1 **Employee** – a person having contract with Company by virtue of appointment letter regardless of employment status, level or position
- 28. **Company** – APIS India limited Will include any/all of its affiliate(s) and/or group company/ies registered in India.
- 4.2 **Company premises** – any offices where the Company conducts its business
- 4.3 **Company property** – any type of equipment, furniture, fixtures, supplies and money used by the Company in the conduct of its business
- 4.4 **Director** – Director(s) of the Company
- 4.5 **Working Hours** – period of time the employee is required or is deemed to have rendered work for the Company
- 4.6 **Immediate superior** – refers to an employee who directly supervises another employee
- 4.7 **Discipline Review Committee (DRC)** – Could be 3-5 member administrative investigating body comprising of the Director, HR Manager, supervisor, a resource person (technically knowledgeable with the details of the case at hand). Depending on requirements of the case, other members can be co-opted to support the investigation. The DRC is responsible for the fair and speedy resolution of major, serious and grave cases
- 4.8 **Disciplinary Action** – Corrective measure meted out to an employee in conformity with these Guidelines and other Company policies, rules and regulations



- 4.9 **Due Process** – the right of an employee to be informed and to be heard with regard to the nature and cause of a complaint or charge against him/her prior to the issuance of a decision
- 4.10 **Corrective Counseling** – Advising the erring employee of the appropriate behavior or action.
- 4.11 **Conciliation cases**– Cases involving interpersonal issues between or among employees that are not borne out of Company policies/procedures and have no direct repercussions on the Company's interests
- 4.12 **Written Reprimand** – a disciplinary action in the form of a written notice given to an erring employee to stress the seriousness of his/her offense and advising him/her of the appropriate conduct and/or action
- 4.13 **Suspension** – a disciplinary action preventing an employee from reporting for work and/or exercising his/her duties and responsibilities for a specified period; an employee under suspension shall NOT receive compensation during the period of disciplinary action
- 4.14 **Termination of employment** – a disciplinary action resulting to an employee's severance from his/her employment with the Company

5.0 GENERAL GUIDELINES

- 5.1 All infractions of this Guidelines and other Company policies, rules and regulations shall be considered as misconduct and the erring employee/s shall be subjected to the appropriate disciplinary action in accordance with the provisions of this Guidelines.
- 5.2 Any changes to the policy to be communicated regularly to all employees. Employees shall have an opportunity to ask questions and/or seek clarification thereon.
- 5.3 The Company reserves the inherent right to modify, alter, or revise these Guidelines through the issuance of memoranda or resolutions by the Management as business exigencies require.
- 5.4 Any and all disciplinary actions shall be undertaken in accordance with the provisions of this Guidelines and prevailing laws.
- 5.5 In accordance with the intent and purpose of the law, an employee who is subjected to an administrative case pursuant to this Guidelines shall be afforded the opportunity to be duly notified of the complaint against him/her and to defend himself/herself prior to the evaluation of the merits of his/her case.
- 5.6 The imposition of the appropriate disciplinary action shall not preclude the filing of the appropriate civil and/or criminal and/or administrative action/s or case/s against the erring employee. In cases where damage to Company property is involved, Management reserves the right to demand payment, from the erring employee, of the appropriate sum, in addition to the imposition of the disciplinary action.
- 5.7 When a single act or omission constitutes two or more misconduct under the Guidelines and/or other Company policies, rules and regulations, the disciplinary action applicable to the most serious offense shall be imposed.
- 5.8 When an erring employee commits two or more acts or omission constituting two or more misconduct, he shall serve the disciplinary actions consecutively. However, if one of the



imposed disciplinary actions is dismissal from employment, then the sanction of dismissal shall prevail and the erring employee need not serve the other sanctions but the same shall form part of his/her employment record.

- 5.9 In case of a conflict or variance between the general provisions of these Guidelines and the specific provisions of other Company policies, rules and regulations on the same matter, the provisions of the Company policies, rules and regulations shall prevail and decision of the Discipline Review Committee (DRC) shall be final.

6.0 TYPES OF MISCONDUCT

Type of misconduct	DESCRIPTION	
Minor	A non-conformance is considered minor in terms of:	
	Impact on Business	Has no detrimental impact on business as this may be considered a misdemeanor
	Effect to Organization	Does not significantly mar the effectiveness of the team, but, in some ways, affects professionalism and Company image
	Revenue and Accounting	Causes very minimal financial loss
	Security	Has minimal impact to client /customer, visitor, Company and employee security but compromises the Company's ability to observe strict compliance to security policy
	Safety and Orderliness	Does not hurt any person physically but contributes to the disorderliness in the work place
	Corrective action	Warrants a warning at the first occurrence
Major	A misconduct with slightly greater impact on the following, even on the first occurrence:	
	Impact on Business	Has some detrimental impact on business because of delay in operations or effect in productivity that is readily resolved within first level management
	Effect to Organization	Does not significantly mar the effectiveness of the team, but, in some ways, affects professionalism and Company image
	Revenue and Accounting	Causes some financial loss
	Security	Has moderate impact to client / customers, Company and employee security and compromises the Company's ability to observe strict compliance with security policy
	Safety and Orderliness	Does not hurt any person physically but contributes to the disorderliness in the work place
	Corrective action	Warrants suspension
Serious	A misconduct that is considered serious in terms of:	



	Impact on Business	Causes delay in operations and mars productivity which may cause the Company to lose opportunities
	Effect to Organization	Seriously compromises team effectiveness and relationships and therefore may result in the team not being able to complete an assigned project or task, attain its specific objectives or lead to dissatisfaction of the customer for service provided
	Revenue and Accounting	Causes a considerable financial loss
	Security	Has high potential of compromising the security of client, customers, Company and other employees
	Safety and Orderliness	Poses real safety hazard and creates a possible occasion for injury
	Corrective action	Warrants suspension of more working days; repetition will warrant termination of employment
Grave	Any misconduct that is considered a 'just cause' for termination of employment under the Labor Guideline, or an offense that is considered grave due to the following:	
	Impact on Business and the organization	Disrupts continuity of work/operations and mars the public perception of the Company, which may even cause the Company to lose its client(s)
	Revenue and Accounting	Causes substantial financial losses to the Company.
	Security	Critically compromises the safety of customer information, the integrity of client or Company systems and the security of other employees;
	Safety and Orderliness	Results in physical harm
	Corrective action	Warrants termination of employment

7.0 TABLE OF MISCONDUCT

ATTENDANCE RELATED MISCONDUCT	
<i>List of Misconducts</i>	<i>Type of Misconduct</i>
Leaving work assignment during official working hours without prior approval from immediate superior	Minor
Taking breaks beyond the allowed total break period	Minor
Failure to notify immediate superior or next level manager over inability to report for work / Late coming without a valid reason within the first three (3) hours of designated time of work.	Minor
Un-authorized Leave – An employee who is absent or goes on leave without securing official approval from his/her immediate superior shall be deemed unauthorized Leave without Official Leave. Each day of un-authorized Leave will be treated as one misconduct The corresponding disciplinary action will increase in severity based on	Minor



subsequent commission of such incidence	
Any other act similar or analogous to the foregoing	

MISCONDUCT AGAINST PHYSICAL SECURITY, SANITATION AND SAFETY	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Allowing personal guests or outsiders or ex-employees, to enter or loiter in work areas without prior authorization	Major
Creating or contributing to unsanitary and/or unsafe conditions within the office premises, including but not limited to, improper use of lavatories, toilets and pantries; failure to observe generally acceptable health, sanitation and/or safety practices within the Company premises	Minor
Smoking within Company premises	Major
Unauthorized entry to Company-designated restricted areas with or without the use of Company ID and access cards, password, keys, and other security tools and/or equipment	Serious
Accessing, permitting or assisting any person to have access to filing cabinets, drawers, lockers, files, etc. without permission of the authorized user or custodian and/or Facilities Manager	Serious
Refusal to submit to security procedures, such as but not limited to, baggage inspection, body frisking, I.D. inspection, whenever required	Serious
Unauthorized carrying or possession of deadly weapons and explosives inside Company premises	Grave
Any other act similar or analogous to the foregoing	
MISCONDUCT AGAINST WORK ETHICS AND PROPER CONDUCT AT WORK	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Failure to wear the prescribed dress guideline while on duty and within Company premises	Minor
Not wearing the Company ID within Company premises	Minor
Soliciting or collecting contributions or items for any purpose whatsoever within the Company premises and without proper authorization from Human Resource Department	Minor
Conducting personal business like vending or selling food or other goods or commodities of any value to employees, promoting tickets (including raffle tickets) within Company premises	Minor
Engaging in rough, coarse or unruly conduct/play, which passes the bounds of propriety and professionalism	Major
Deliberate or habitual failure to comply with the Time Management Policy and Attendance Management System	Serious



Proposing, transacting private business or undertaking with an individual or private concern using the name of the Company or those of any of the Company's employees	Serious
Engaging in any form of gambling or game of chance within the Company premises or during Company-sponsored activities	Serious
Unauthorized copying of materials from the internet or other sources which are protected under copyright law, or making these materials available to others for copying by using Company time and/or equipment	Serious
Scandalous acts or acts of immorality committed within Company premises or during Company-sponsored activities, whether or not done within Company premises	Serious
Reporting for work or entering the work area premises under the influence or in possession of alcoholic beverage/s. Bringing in alcoholic beverage/s may be authorized for special occasions (client request upon visit, etc), and must be duly approved by the General Manager	Serious
Unauthorized removal or tampering of fire protection equipment or other safety devices from designated areas	Serious
Inducing or influencing co-employee/s and/or third parties to violate Company policies, rules and regulations	Serious
Discourtesy, disrespect, or arrogance towards suppliers, superiors or fellow employees	Serious
Discourtesy, disrespect, or arrogance towards Company guests and/or clients	Grave
Insubordination or deliberate refusal to obey reasonable and official instructions of superior/s	Grave
Fighting or instigating a fight within the Company premises. Inflicting or attempting to inflict bodily harm/injury in any form to fellow employee/s or third person/s within the Company premises	Grave
Willful or malicious defacement or destruction of Company, co-employee, guest or visitor's property	Grave
Being under the influence of prohibited drugs while in the Company premises or during Company-sponsored activities. Reporting for work or entering the Company premises in possession of prohibited drugs	Grave
Planting evidence against another employee for the purpose of implicating the latter in the commission of an offense or for the purpose of evading responsibility for the commission of the crime or offense	Grave
Any form of theft, actual or attempted, of Company property or property of co-employees, visitors or clients, or third parties committed within or outside Company premises	Grave
Any violation of the employment contract and confidentiality and non-disclosure agreement	Grave
Breach or abuse of trust reposed by the Company or duly authorized representative that results in damage or loss to the Company	Grave
Abuse of position and/or authority for personal gain or using position or authority to take advantage of co-employees	Grave
Sexual harassment; engaging in sexual activities/ related comments/ and/or acts of lasciviousness within Company premises or during Company sponsored activities	Grave



Any other act similar or analogous to the foregoing

FRAUD, DISHONESTY AND WILLFUL BREACH OF TRUST	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Unauthorized alteration or falsification of Company record/s, including furnishing of false or misleading information about the Company and/or one's employment with the Company.	Grave
Financial Transactions – Any exchange of financial instrument (cash/cheque/bond/pay order/Demand Draft/any other document related to financial transaction) with customer/vendor/client or any third party without prior approval of immediate supervisor or Director(s) of the Company. The approval can either be in the form of ink-signed document or from official email id of the concerned authority of the company.	Grave
Misappropriation of Company funds	Grave
Acceptance of Gifts & Gratuities – Accepting any gift, entertainment, cash, merchandise, special accommodation or use of property or facilities, either directly or indirectly from anyone with whom the Company does business; named as Client, Customer, vendor, contractor, retainer, merchandiser etc does business or is negotiating business on behalf of the Company.	Grave
Abuse of access rights in the Attendance Management System; editing records without merit or with intent to allow employee(s) to gain through fraud	Serious
Committing any action that would put on record that an employee has worked for a certain number of hours when in fact he/she has not, or that an employee was in the Company premises for a certain number of hours when in fact he/she was not	Grave
Willfully furnishing false data or withholding vital information during investigation conducted by the Company	Grave
Deliberately withholding information resulting to loss or prejudice to the interest of the Company	Grave
Altering any information or content of e-mail, messages, or postings with intent to commit fraud	Grave
Substituting or attempting to substitute Company materials, equipment or property with another, with intent to defraud the Company	Grave
All other acts of dishonesty, fraud or deceit causing prejudice or damage (both financial and non-financial in nature) to the Company	Grave
Any other act similar or analogous to the foregoing	

MISCONDUCT AGAINST NETWORK SECURITY	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Initiating or forwarding chain emails the contents of which are not work-related	Minor



Using the Company's network connection to play or to download games or other entertainment software or such other actions that create unnecessary network traffic	Major
Unauthorized possession of company owned or acquired software	Major
Storing, in any of the Company's common drives, personal or any non-work related files or materials	Serious
Installing or using encryption software on any of the Company's computer system without first obtaining written permission from management, or using encryption passwords or encryption keys that are unknown to his/her superior/s	Serious
Unauthorized use, copying, creation, renaming, modification, deletion of any system, data, directory, file, software or other application program/s stored in the Company's network, server/s or workstation/s	Serious
Unauthorized access or allowing or assisting unauthorized access to the Company's network, server/s or computer/s, such as but not limited to, the following: • Placement of computer virus, worms, or any file-damaging program, application or software, regardless of intention or motive; • Alteration or modification of any corporate files or information including changing the access rights of users; • Creation of unauthorized User ID on the server/network; • Unauthorized attachment of computers, storage media or drives or any other computer peripheral to server/s, workstation/s, or any network segment or cable, whether remote or on-site; • Tampering and/or manipulating server or network configurations and properties, introduction of unauthorized or unlicensed software or hardware, changing of control panel and display settings, etc; • Downloading of software or other application program/s via the Internet and installation of the same at the Company's network, server/s or workstation/s; • Monitoring of sensitive or confidential data, crossing the Internet network via clip-on, inductive sensors, network sniffers, etc; • Any form of unauthorized password cracking or hacking to gain access to personal or confidential files in the Company's network, server, hard disk or workstations;	Grave
Consenting, tolerating or allowing another employee to use personal User ID, password, systems, rights to access the network, server, directory, hard disk or any confidential file/s which the accessing employee is not authorized to do so	Grave
Willful and malicious destruction, whether partial or complete, of network interface devices, cables and electrical overloading or shutting off of electrical power	Grave
Using any software or application that violates software licenses and/or the laws on intellectual property	Grave
(A) Unauthorized copying of software for use in their home computers; (B) Providing copies of software to any independent contractors or clients of the Company or any third person without proper authority; (C) Unauthorized installation of software in any of the Company's workstation	Grave
Sending, transmitting, or otherwise disseminating, through e-mail or the internet, proprietary data, trade secrets, or other confidential information of the Company	Grave
Any other act similar or analogous to the foregoing	



NEGLIGENCE AND NON-COMPLIANCE WITH WORK STANDARDS	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Failure of an immediate superior to disseminate Company policies, work rules, work procedures, and the like to employees he/she supervises within the prescribed period	Minor
Commission of negligent or careless act/s during work time or on Company property, which result/s to personal injury to a co-employee or destruction of property, material or equipment of the Company or of a co-employee	Major
Any delay that causes the Company to lose time and/or clients through negligence or substandard work or undue failure to perform any act within the scope of his/her functions	Major
Failure by an employee to meet the productivity and quality standards set by the Company after having been given full orientation, instructions, and training for the job at the start, or during the course of the employee's employment	Major
Failure to observe reasonable care and due diligence in the undertaking of a particular task in the course of the performance of duties which results in serious customer dissatisfaction, extensive delay in operations and/or physical injury	Serious
Gross and habitual neglect by the employee of his/her duties; gross inefficiency or negligence in the performance of assigned tasks or duties	Grave
Any other act similar or analogous to the foregoing	

MISCONDUCT AGAINST INFORMATION SECURITY	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Unauthorized disclosure or assisting or permitting the disclosure of confidential or restricted information	Grave
Permitting or assisting any person to access confidential documents, records, files without proper authorization	Grave
Sending or forwarding confidential or propriety e-mails or communication to unauthorized person/s or entity/ies	Grave
Taking out Company documents classified as restricted or confidential, tools, and/or other Company materials without proper authorization and/or which are not in connection with duties and responsibilities	Grave
Any other act similar or analogous to the foregoing acts	

MISUSE OF COMPANY TIME AND RESOURCES	
<i>List of Misconduct</i>	<i>Type of Misconduct</i>
Excessive use of Company telephone for personal purposes	Minor



Taking photographs by using mobile phones, or any other equipment within the Production environment or any other sensitive areas like GT Department, Server Room, PC Monitors with company information	Major
Using, operating, or possessing Company equipment not assigned to an employee, or which an employee has not been authorized to use, operate or possess	Major
Excessive use of Company time, material, equipment, tool, or other property to do unauthorized or personal work	Serious
Any other act similar or analogous to the foregoing	

8.0 SCHEDULE OF DISCIPLINARY ACTIONS BASIS MISCONDUCT

Type Of Misconduct	<i>Suggested Disciplinary Action/'s</i>
MINOR	Counseling, Verbal/ written warning Repeated incidence may lead to suspension or termination
MAJOR	Written Warning coupled with suspension & may lead to termination.
SERIOUS	Suspension and basis incident findings may lead to termination
GRAVE	Termination

9.0 ADMINISTRATIVE GUIDELINES

- 9.1 In cases of Conciliation cases or those involving minor misconduct leading to corrective counseling, manager & HR to discuss the latter's misdemeanor in the given incident and advise of the appropriate conduct and/or action. Such discussion will be recorded in and sent to HR to be made part of the employee's personal file.
- 9.2 For cases wherein the alleged offense warrants a disciplinary action of written reprimand, suspension or termination of employment, the immediate superior is required to prepare and submit detailed incident report to the HR Manager. HR can suo moto also require an incident report from the manager if an incident comes to light from other employees/stakeholders.
- 9.3 Basis incident report, HR to constitute appropriate DRC and investigate the matter. DRC to issue Notice to explain to the erring employee and give him/ her 2- 3 days to explain his/ her position with respect to the charges.
- 9.4 Failure to file and/or submit the Incident Report, reply to the Notice to Explain and other documents required by the HR Department within the period specified in this Guidelines, or as per written instructions of the HR Manager shall be construed as a misconduct itself to the responsible department / employee.



- 9.5 All written explanations and relevant documents shall be endorsed to the HR Manager who in turn shall include the same in the erring employee's Personal records.
- 9.6 All written disciplinary actions including relevant documents shall be held in strict confidence.
- 9.7 Issuance of all notices shall be transmitted to the concerned employee through the following modes:
 - 9.7.1 Personal service to the employee; or
 - 9.7.2 If personal service is impractical, through registered mail and courier service.

10.0 EXCEPTION

Any exception & modification right to the policy lies with DIRECTOR- Company only.